A RESOLVE GUIDE FOR ONTARIO HOMEOWNERS

There are usually more options *than it feels like.*

When the mortgage gets hard to carry, most people believe they have two choices: keep struggling, or lose the house. In reality, there is usually more room than that, and more time than it feels like on the day a letter arrives.

Every situation is different, and not all of this will fit yours. The point of this guide is to show you where you stand, which choices are still open, and what each one costs, so you can make a calm decision instead of a rushed one.

Your decision, on your timing.

> *"I work only on homes where the lender is already involved: arrears, notices of sale and court claims. Before this, I spent close to a decade in Ontario real estate law."*
>
> TARAN AUJLA, SALESPERSON

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1 · IF A LETTER HAS ALREADY ARRIVED

A letter from the lender *is not the end of your options.*

Three documents tend to arrive once mortgage payments fall behind, usually in this order. Here is what each one is, in plain terms.

USUALLY FIRST, FROM THE LENDER

Demand letter about missed payments

What it is	Usually the first formal letter, often after a few missed payments. The lender, or its lawyer, asks you to pay the arrears by a set date, and sometimes demands the full balance.
The timing	Look for the date in the letter. That is the window it gives you.
What it means	The clock has started, and this is the stage with the most room. If the arrears can be cleared by that date, the mortgage usually carries on as before. If they cannot, the next step is usually a notice of sale or a statement of claim, and legal costs start being added to what is owed.

FROM THE LENDER

Notice of Sale Under Mortgage

What it is	The lender's formal notice that it intends to sell the property under the power of sale in the mortgage.
The timing	Under Ontario's Mortgages Act, the notice can only be given once a default has continued for at least 15 days, and the lender cannot sell for at least 35 days after the notice is given.
What it means	The lender has started the steps that let it sell. The property is still registered in your name until it is sold.

FROM THE COURT

Statement of Claim

What it is	A court document that starts a lawsuit. On a mortgage, the lender usually claims the amount owing, and often possession of the property.
The timing	Under Ontario's Rules of Civil Procedure, a person served in Ontario has 20 days to deliver a statement of defence. Delivering a notice of intent to defend within that time adds 10 days. If no defence is delivered on time, the lender can ask to have the owner noted in default.
What it means	The matter is now in court, and the steps that follow run on court timelines.

What these letters do not mean

- They do not mean the house is gone. It stays in your name until it is sold.
- They do not mean you have lost the choice of how it is sold. Selling it yourself, at market value, is often still possible while there is time to do it properly.
- They do mean the clock has started. Each step adds costs to what is owed, and nothing to what the house is worth.

The claim itself, including whether and how to respond to it, is a legal matter to discuss with a lawyer. This page is general information only, not legal advice.

Sources: Mortgages Act, R.S.O. 1990, c. M.40, s. 32. Rules of Civil Procedure, R.R.O. 1990, Reg. 194, rules 18.01, 18.02 and 19.01.

2 · IF YOU STILL HAVE TIME

Easing the pressure, *while you still can.*

If no letter has arrived yet, you have the most room. A few things are worth doing early.

- **Talk to your lender early.** Ask, in writing, what relief it can offer, such as a temporary payment deferral or a change to the payment schedule. It is a far easier conversation before an account is far behind than after.
- **Check for property tax relief.** Ontario municipalities are required to offer some relief, such as deferring tax increases, for low-income seniors and low-income people with disabilities. Your municipality's tax office can tell you what applies to you.
- **Re-shop your insurance.** Premiums often creep up quietly, and a fresh quote can be an easy saving.
- **Keep everything in writing.** Letters, emails and payment records. If things move further, the paper trail matters.

When the numbers no longer work

If the payments cannot be kept up even after these steps, the question changes. It becomes what the home is worth today, what is owing against it, and who decides how it is sold. That is what the next pages are about.

3 · BEFORE YOU CHOOSE

Before you choose: *the one number every option depends on*

Every route in this guide turns on the same two figures. What the property is worth **today**, and what is actually owing against it.

Not what you paid for it. Not the assessment. Not what sold on the street two years ago. Values have moved, and a plan built on an old number is a plan built on nothing.

- A plan to catch up only works if the payments can be kept up afterwards.
- A sale only helps if what is left, after the mortgage and the costs of selling, is a number worth having.
- And if the numbers come up short, it is far better to know that now, while there is still time to deal with it.

Most people reading this are working from a figure that is two or three years old. That is usually the difference between a plan that holds and one that falls apart in the second week.

So start there

If you would like to talk it through, call or text me. It is a private conversation about where the property stands and what selling it could look like, and nothing is decided on the call.

Then you can choose your next step knowing **which options are actually open to you**.

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4 · WHEN A SALE IS ON THE TABLE

The bank sells it. *Or you do.*

Same house. The difference is who runs the sale, and who it is run for.

	LENDER-LED **The lender sells it**	OWNER-LED **You sell it first**
Who it is run for	× The lender, to recover its loan	✓ You. Your agent and your lawyer work for you
The price	× Enough to cover the loan and its costs	✓ Set by the market, from real recent sales
Costs off the top	× The lender's legal and enforcement costs, its agent, then the mortgage	✓ Commission and your lawyer, then the mortgage
How it is sold	× As-is, with no seller disclosure. Buyers price in the unknowns	✓ Prepared and presented properly, on terms you agree to
Your move date	× Set by the lender's possession timeline	✓ Set around your next place
If it falls short	× The difference stays your debt	✓ Raised with the lender before the sale, not after
What is left for you	× Whatever remains after everyone else is paid, paid later	✓ Paid to you at closing
On your record	× A power of sale on title	✓ An ordinary sale on title

Why the timing matters

It is open while you still control the timing. Each month behind adds to what is owed, and nothing to what the house is worth. The one number from the page before tells you which column you are working in today.

General information, not legal or financial advice. Every lender and every file is different, and nothing here guarantees an outcome. Any shortfall is a matter between you and your lender.

5 · WHEN SELLING IS ON THE TABLE

If I sell, *where do I go?*

It is the first question almost everyone asks. It has a better answer than most people expect.

Where you go next is part of the plan. A sale you run closes around your move. When a lender sells instead, its timeline sets the day you leave.

If your credit has taken a hit, renting is usually the next step, and it is more within reach than it feels. Landlords look at income, references and a complete application, not only a credit score.

What I help with

- **Finding the next place,** timed to your closing date.
- **A complete application:** ID, income, references, proof of funds, and a short explanation where your credit needs one.
- **No gap between the two.** The closing and the move-in lined up.

Knowing where you are going makes every other decision easier. Waiting is the part that costs the most.

Approval is the landlord's decision, and nothing here guarantees one. A strong, complete application gives you the best chance.

WHEN SELLING IS THE RIGHT MOVE

The strongest version of a sale *is the one you run yourself.*

When the numbers point to a sale, the best outcome is usually a calm, well-run sale at market value, on a timeline you set, protecting as much of your equity as your situation allows. Not a lender's clock.



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This is the only kind of file I take on: homes where a lender is already involved, with arrears, a notice of sale or a court claim.

Before this, I spent close to a decade in Ontario real estate law. The mortgage, the notice, the claim and the title are documents I worked with every day. You will not have to explain them to me.

What that means for you

- **A sale built to close.** Priced from real recent sales and documented properly, so it holds up for you and for anyone else who has to agree to it.
- **One person, start to finish.** You deal with me directly, and I answer my own phone.
- **Private and calm.** Your situation stays between us. Marketing is about the home, never about why it is for sale.
- **Your move planned in.** The closing date is built around your next place.

If you would like to talk any of this through, call or text me at (365) 645-7332.

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